

[Login](#)[Register](#)

your market order from being executed.

More in-depth info can be found in this article; ['Which Order to Use when Buying Shares?'](#)

Trading is a Business, the Importance of Risk Management

Losses are inevitable

Mark Minervini spends the last two chapters of his book "Trade Like a Stock Market Wizard" entirely on risk management and there is a good reason for doing so. No matter what strategy you use or how successful it is, if you don't control your risk you will fail sooner or later anyway.

With every new position you take, you must start with the question "What am I risking and what am I going to do to protect my capital to the maximum if things go wrong?". This is the only way to survive in the long run as a trader.

Avoiding big losers is key

Not all of your positions will be successful. Losses are inherently part of any strategy.

Loss positions, as such, are not a problem. Only how you deal with them can become a problem if you don't know how to control them.